Produce	Cost of production in ₹	
	India	Bangladesh
Rice	25	50
Wheat	60	75

In both products, India has advantage compared to Bangladesh because both rice and wheat are cheaper in India. In case of rice, the cost of production in India is 50 per cent of Bangladesh's cost of production. But in case of wheat, India's cost of production is 80 per cent of Bangladesh's cost of production. It means, India has comparatively more advantage in rice production than that of wheat production. So, India has to specialise in rice production.

From Bangladesh's point of view, in the case of rice, the cost of production is 100 per cent more than that of India. But, in the case of wheat the cost of production is only 25 per cent more than that of India. So, though Bangladesh has disadvantage in both products, it has comparatively less disadvantage in production of wheat. So, Bangladesh has to specialise in wheat production.

Before external trade i.e. export, within India, with 1 kg of rice, a buyer can purchase only 0.41 kg of wheat (60/25 = 0.41). In Bangladesh, with 1 kg of wheat, a buyer can purchase only 1.5 kg of rice (75/50 =1.5).

Suppose, they enter into trade after specialistion and fix price at 1 kg of rice equal to 0.60 kg of wheat. In terms of wheat the price is 1 kg of wheat equal to 1.66 kg of rice.

By exporting 1 kg of rice, India can get 0.60 kg of wheat, i.e 0.19 kg more than what it would have got in internal trade. Bangladesh, with 1 kg of wheat, can get 1.66 kg of rice i.e., 0.16 kg more than what it would have got in internal trade. So, external trade benefits both.

Rule of Origin

It is a term used in all trade agreements. It is aimed at preventing